

I can think of many reasons to explain why buying demand surges: Improving fundamentals, traders seeing price hitting underlying support, bottom fishing among novice traders, insider buying, even rumors (takeover, expected good quarterly earnings, good future outlook) can propel a stock higher, sometimes substantially.

Let's look at the statistics to better define average behavior.

Statistics

[Table 51.2](#) shows general statistics for rectangle bottoms.

[Table 51.2](#) General Statistics

Description	Bull Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
Number found	535	367	160
Reversal (R), continuation (C) occurrence	100% R	100% C	100% C
Average rise or decline	48%	−16%	−26%
Standard & Poor's 500 change	11%	−2%	−11%
Days to ultimate high or low	202	40	32
How many change trend?	56%	28%	57%

Number found. I catalogued 1,181 rectangle bottoms in 638 stocks with the first found in July 1991 and the most recent in December 2019. That span covered multiple bull and bear markets. I did not include bear markets with upward breakouts, so that's why the total in the table is smaller than 1,181.

Reversal (R), continuation (C) occurrence. Because rectangle bottoms must have price entering the pattern from the top, an upward breakout